

Sujauddin @ Pappu v. The Appellate Committee, Saharanpur Division and 2 Others

Allahabad High Court · Single Judge · 14 March 2023 · Writ - C No. 4594 of 2023 · **Writ petition dismissed; the theft finding and the reduced assessment stand, the acceptance of guilt having removed any need for a separate finding that theft was conclusively proved**

HEADNOTE

Where a consumer accepts before the assessing officer that he committed theft of electricity and seeks only a lesser penalty, and does not plead that the finding of acceptance is perverse, the assessing officer need not record a separate finding that theft was conclusively proved, and the consumer cannot afterwards take that ground. Intention to dishonestly abstract electricity must still be proved conclusively; an undenied acceptance meets that requirement, and decisions cited for a stricter demonstration are distinguishable. The procedure under the U.P. Electricity Supply Code, 2005 was substantially followed: the checking report recorded that the incoming cable was cut and that a two-core wire was used to bypass the meter, and the occupants refused to sign and did not cooperate. Failure to confiscate that wire is a deficiency, not a ground to set the proceedings aside, once the acceptance of guilt is not denied. The appellate authority had confirmed the theft and remitted only the computation; on reassessment the penalty was reduced from Rs 2,12,840 to Rs 78,078. The writ was dismissed.

FACTUAL SUMMARY

Sujauddin @ Pappu had a domestic electricity connection. On 3 May 2019 the respondent distribution corporation found the incoming cable cut and supply taken through a two-core cable that bypassed the meter. Family members present refused to sign the checking report. After Writ-C No. 4744 of 2020 was disposed of on 10 February 2020, he objected on 19 February 2020, alleging team misconduct and non-recovery of the cable. On 6 March 2020 the authority held theft or unauthorised use proved, demanded Rs 2,12,840, and recorded an acceptance of guilt, readiness to pay, and that the allegations against the officers were not corroborated.

Writ Petition No. 2425 of 2021 was disposed of on 29 January 2021 with liberty to appeal under the U.P. Electricity Supply Code, 2005. On 21 October 2022 the appellate authority confirmed the theft and remanded the computation, including payments already made. On 19 November 2022 the penalty was reduced to Rs 78,078. This writ invoked Clauses 8.1 and 8.2, contending that dishonest intention was not found and that the bypass cable had not been seized.

REUSABLE CONSTRUCTIONS

1. Where a consumer accepts guilt of theft before the assessing officer and seeks only a lesser penalty, and that acceptance is not denied and is not challenged as a perverse finding, the assessing officer need not record a separate finding that theft was conclusively proved, and the consumer cannot later contend that it was not. ¶ 14-16
2. Intention to dishonestly abstract electricity must be proved conclusively. An undenied acceptance of guilt before the assessing officer meets that requirement, and decisions insisting on a fuller demonstration are distinguishable. ¶ 15-16
3. Failure to confiscate the wire used to bypass the meter is a deficiency in the inspection, but it does not vitiate the theft assessment where the consumer has accepted guilt and that acceptance is not denied. ¶ 17
4. An inspection report that records the cut in the incoming cable and the use of a bypass wire is substantial compliance with the Supply Code procedure where the occupants refuse to sign the report and do not cooperate in the inspection. ¶ 17

HOLDING-UNIT · UP-2005::8.1

Acceptance of guilt before the assessing officer dispenses with a recorded finding that theft was conclusively proved

QUESTION

Where the consumer has accepted guilt of theft before the assessing officer, sought only a lesser penalty, and not pleaded that the finding of acceptance is perverse, must the assessing officer still record that theft was conclusively proved?

HOLDING

No. The Executive Engineer recorded that the petitioner had accepted his guilt and was ready to pay the penalty, and that may explain why other requirements of the Electricity Act, 2003 and the Code, 2005 were not dealt with so as to return a finding that theft was conclusively proved. The memo of appeal took no ground that this finding was perverse. The Court accepted as settled law that intention to dishonestly abstract electricity must be proved conclusively, and held the decisions cited by the petitioner distinguishable on facts. Because the petitioner had accepted his guilt, he had not disputed the theft and had prayed for a lesser penalty. There was therefore no legal requirement to record that theft was conclusively proved, and he could not afterwards take that ground. He had also withdrawn the charges against the officers of the distribution company. The writ was dismissed. ¶ 14-16, 18-19

QUALIFIER

The Court did not examine the appellate order of 21.10.2022 ground by ground for a statement of reasons. It held there was no illegality once the acceptance of guilt stood.

FLAG The petitioner invoked Clauses 8.1 and 8.2 together. The Court did not quote either clause, did not separate them, and did not cite a section of the Electricity Act, 2003. Keyed to UP-2005::8.1 as the theft-booking procedure those clauses were said to contain. The 6.3.2020 order used the composite label theft/unauthorized use; the Court decided the challenge as one of theft. Paragraph pins are the Court's numbered paragraphs 1-19.

HOLDING-UNIT · UP-2005::8.1

Non-confiscation of the bypass wire does not vitiate an admitted theft where the checking report records the bypass and occupants refuse to sign

QUESTION

Does failure to confiscate the wire used to bypass the meter require the theft assessment to be set aside, when the checking report records the cut cable and the bypass and the consumer has accepted guilt?

HOLDING

No. The procedure prescribed in the Code, 2005 was substantially followed. After inspection a report was prepared mentioning the cut in the cable and the use of a two-core wire; family members refused to sign and did not cooperate. The only deficiency was the failure to confiscate the wire used in the theft. That could not be a ground for setting aside the proceedings, ignoring that the petitioner had accepted his guilt before the assessing officer and had not denied it. The Court found no irregularity or illegality in the impugned order and dismissed the writ. ¶ 17-19

QUALIFIER

The Court did not hold that seizure of the article of theft is optional in a contested case. The deficiency was held not fatal because the acceptance of guilt was not denied.

FLAG The petitioner said Clauses 8.1 and 8.2 require the report to state whether a prima facie case of theft can be inferred and require a list of things seized. The Court answered that submission without quoting the clauses. It did not construe the Clause 8.2 computation, which the appellate remand had already sent back and which the reassessment of 19.11.2022 had reduced from Rs 2,12,840 to Rs 78,078.

PRINCIPLE TAGS

theft-assessment-requires-evidence The Court treated it as settled that intention to dishonestly abstract electricity must be proved conclusively. It held the requirement met by the petitioner's acceptance of guilt before the assessing officer, which he did not deny and did not challenge as perverse, and distinguished the decisions cited for a stricter demonstration. ¶ 15-16

acceptance-of-guilt-dispenses-with-finding-theft-conclusively-proved Because the petitioner had accepted guilt before the assessing officer and sought a lesser penalty, and the memo of appeal did not call that finding perverse, the

assessing officer was not required to record that theft was conclusively proved, and the petitioner could not take that ground in the writ. He had also withdrawn the charges against the officers. ¶ 14-16

non-seizure-of-bypass-wire-does-not-vitiate-admitted-theft The checking report recorded the cut incoming cable and the two-core bypass; occupants refused to sign and did not cooperate. Failure to confiscate the wire was held to be the only deficiency and not a ground to set aside the proceedings once the acceptance of guilt was not denied. ¶ 17

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE APPELLATE ORDER DATED 21.10.2022 RECORDED REASONS ON EVERY GROUND IN THE MEMO OF APPEAL

The petitioner argued that a quasi-judicial authority must record reasons and that the appellate authority gave none while partly allowing the appeal. The Court did not examine that order ground by ground. It held there was no illegality once guilt stood accepted and the Code procedure was substantially followed. ¶ 10, 18

NOT DECIDED — CORRECTNESS OF THE REDUCTION FROM RS 2,12,840 TO RS 78,078, INCLUDING WHICH PAYMENTS WERE TO BE ADJUSTED AND THE MANNER OF CALCULATION

The appellate authority had remitted those questions and the reassessment had already reduced the penalty. The writ court did not recompute the demand. ¶ 7, 12, 14

NOT DECIDED — WHETHER THE INSPECTION WAS FALSE BECAUSE A DEMAND FOR GRATIFICATION WAS NOT MET

The allegation was in the memo of appeal. The Court recorded that the petitioner had withdrawn the charges against the officers and did not try the allegation. ¶ 6, 16

NOT DECIDED — WHETHER THE DEMAND WAS A THEFT ASSESSMENT UNDER CLAUSES 8.1 AND 8.2 OR AN UNAUTHORISED-USE ASSESSMENT UNDER CLAUSE 6.8 OR SECTION 126

The order of 6.3.2020 used the composite label theft/unauthorized use of energy. The Court decided the writ as a theft challenge and did not classify the demand. ¶ 4, 15-17

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Sharda Oil Industries Pvt. Ltd., Nunaihi v. Appellate Authority/Superintending Engineer, U.P. State Electricity Board and Another</i> 1994 SCC OnLine All 359 Allahabad High Court	Cited by the petitioner with the other decisions in paragraph 9 for the submissions that dishonest intention to abstract electricity must be proved conclusively, that a quasi-judicial authority must record reasons, and that the inspection and seizure procedure in Clauses 8.1 and 8.2 was not followed. The Court held those decisions distinguishable on facts, while accepting that such intention must be proved conclusively.		Petitioner	Distinguished
<i>Col. R.K. Nayar (Retd.) v. BSES Rajdhani Power Ltd. & Ors.</i> ILR (2007) II Delhi 769 Delhi High Court	Cited by the petitioner with the other decisions in paragraph 9 for the submissions that dishonest intention to abstract electricity must be proved conclusively, that a quasi-judicial authority must record reasons, and that the inspection and seizure procedure in Clauses 8.1 and 8.2 was not followed. The Court held those decisions distinguishable on facts, while		Petitioner	Distinguished

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
	accepting that such intention must be proved conclusively.			
<i>Jagdish Narayan v. North Delhi Power Limited & Anr.</i> ILR (2007) II Delhi 957 Delhi High Court	Cited by the petitioner with the other decisions in paragraph 9 for the submissions that dishonest intention to abstract electricity must be proved conclusively, that a quasi-judicial authority must record reasons, and that the inspection and seizure procedure in Clauses 8.1 and 8.2 was not followed. The Court held those decisions distinguishable on facts, while accepting that such intention must be proved conclusively.		Petitioner	Distinguished
<i>Harvinder Motors v. B.S.E.S. Rajdhani Power Ltd.</i> 2006 SCC OnLine Del 1404 Delhi High Court	Cited by the petitioner with the other decisions in paragraph 9 for the submissions that dishonest intention to abstract electricity must be proved conclusively, that a quasi-judicial authority must record reasons, and that the inspection and seizure procedure in Clauses 8.1 and 8.2 was not followed. The Court held those decisions distinguishable on facts, while accepting that such intention must be proved conclusively.		Petitioner	Distinguished
<i>Oryx Fisheries Pvt. Ltd. v. Union of India & Ors.</i> 2010 AIR SCW 7105 Supreme Court of India	Cited by the petitioner, under the spelling Orxy Fisheries, with the other decisions in paragraph 9 for the submissions that dishonest intention to abstract electricity must be proved conclusively, that a quasi-judicial authority must record reasons, and that the inspection and seizure procedure in Clauses 8.1 and 8.2 was not followed. The Court held those decisions distinguishable on facts, while accepting that such intention must be proved conclusively. It did not extract this decision.		Petitioner	Distinguished
<i>Mohit Paper Mills Ltd. & Anr. v. Pashchimanchal Vidyut Vitran Nigam Ltd. & Ors.</i> 2012 (2) ALJ 469 Allahabad High Court	Cited by the petitioner with the other decisions in paragraph 9 for the submissions that dishonest intention to abstract electricity must be proved conclusively, that a quasi-judicial authority must record reasons, and that the inspection and seizure procedure in Clauses 8.1 and 8.2 was not followed. The Court held those decisions		Petitioner	Distinguished

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
	distinguishable on facts, while accepting that such intention must be proved conclusively.			
<i>Ashok Kumar & Ors. v. State of U.P. & Ors.</i> 2008 (6) ADJ 660 Allahabad High Court	Cited by the petitioner with the other decisions in paragraph 9 for the submissions that dishonest intention to abstract electricity must be proved conclusively, that a quasi-judicial authority must record reasons, and that the inspection and seizure procedure in Clauses 8.1 and 8.2 was not followed. The Court held those decisions distinguishable on facts, while accepting that such intention must be proved conclusively.		Petitioner	Distinguished

SCJ-3309 · Sujauddin @ Pappu v. The Appellate Committee, Saharanpur Division and 2 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.